

PRIVATE CREDIT UNDERWRITING MEMO

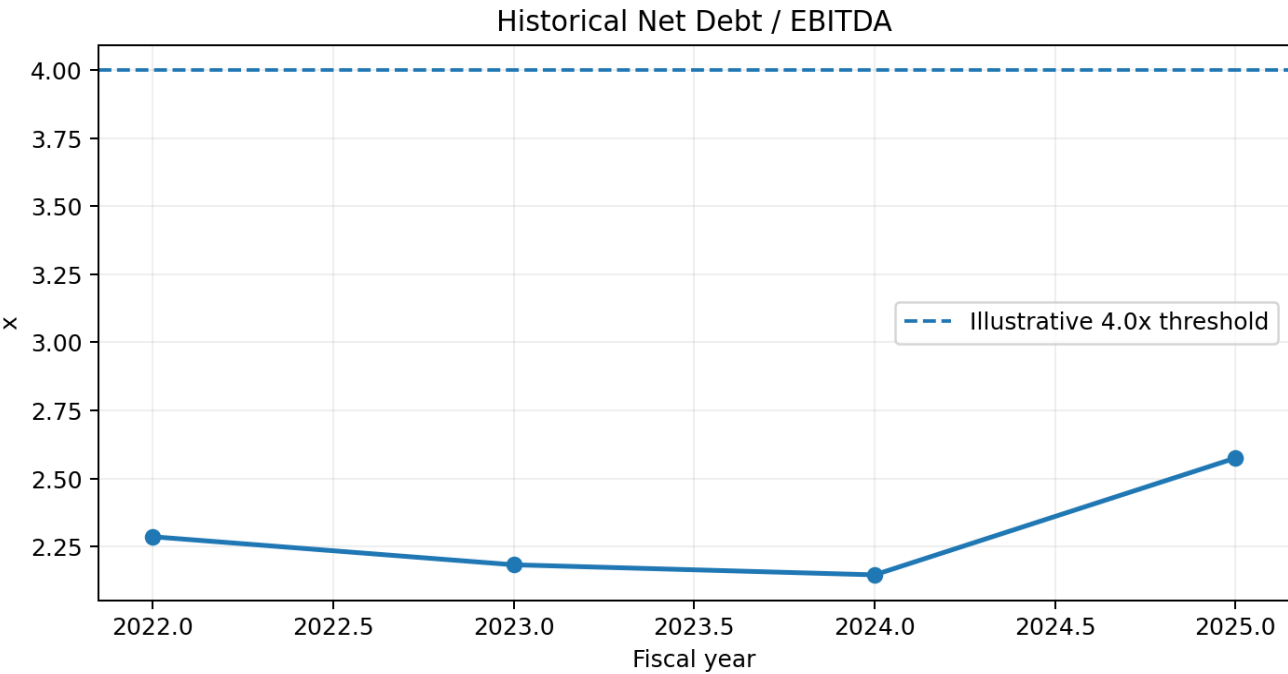
PepsiCo, Inc. (PEP) | Illustrative Borrower Risk Assessment

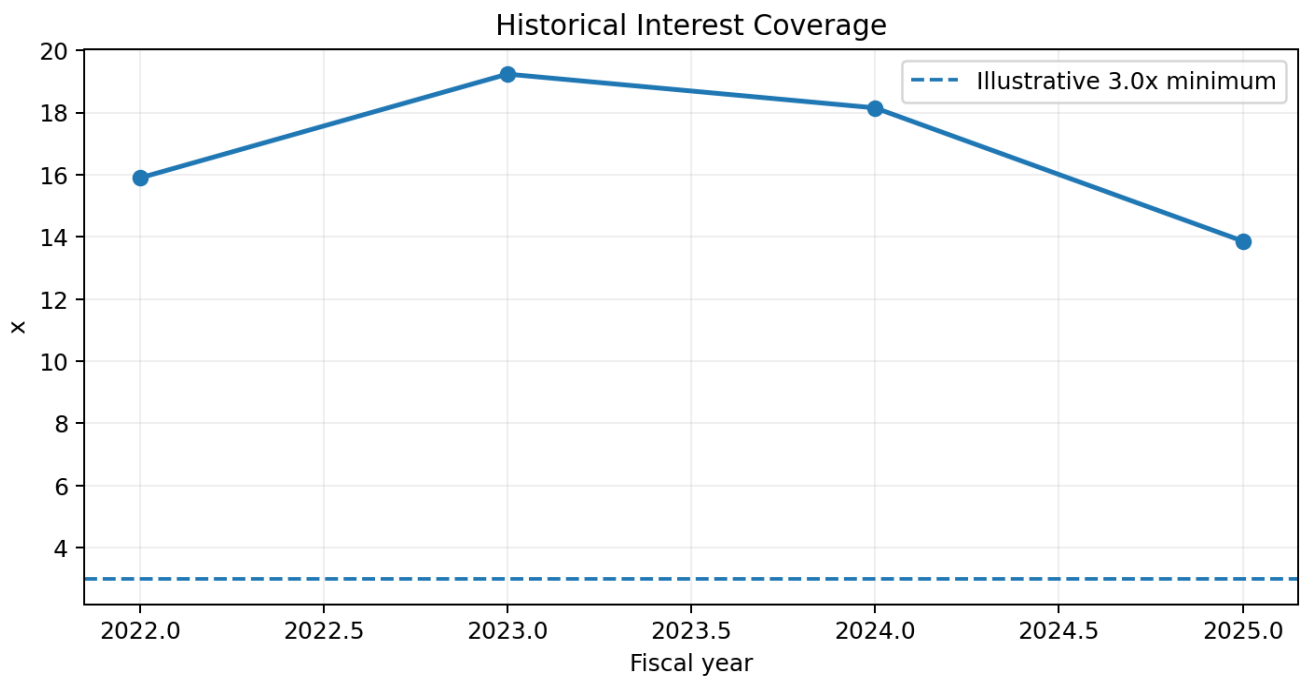
Executed portfolio model — finance-first underwriting workflow

Executive Credit Snapshot

Metric	Result
FY2025 Revenue	\$93.92bn
FY2025 EBITDA	\$15.54bn
Net Debt / EBITDA	2.57x
Interest Coverage	13.87x
FCF / Debt	15.60%
Illustrative risk score	1.60 / 5
Hypothetical facility	\$2.00bn @ 8.0%
Post-deal leverage	2.70x
Post-deal coverage	12.13x
Theoretical incremental capacity @ 4.0x	\$22.15bn

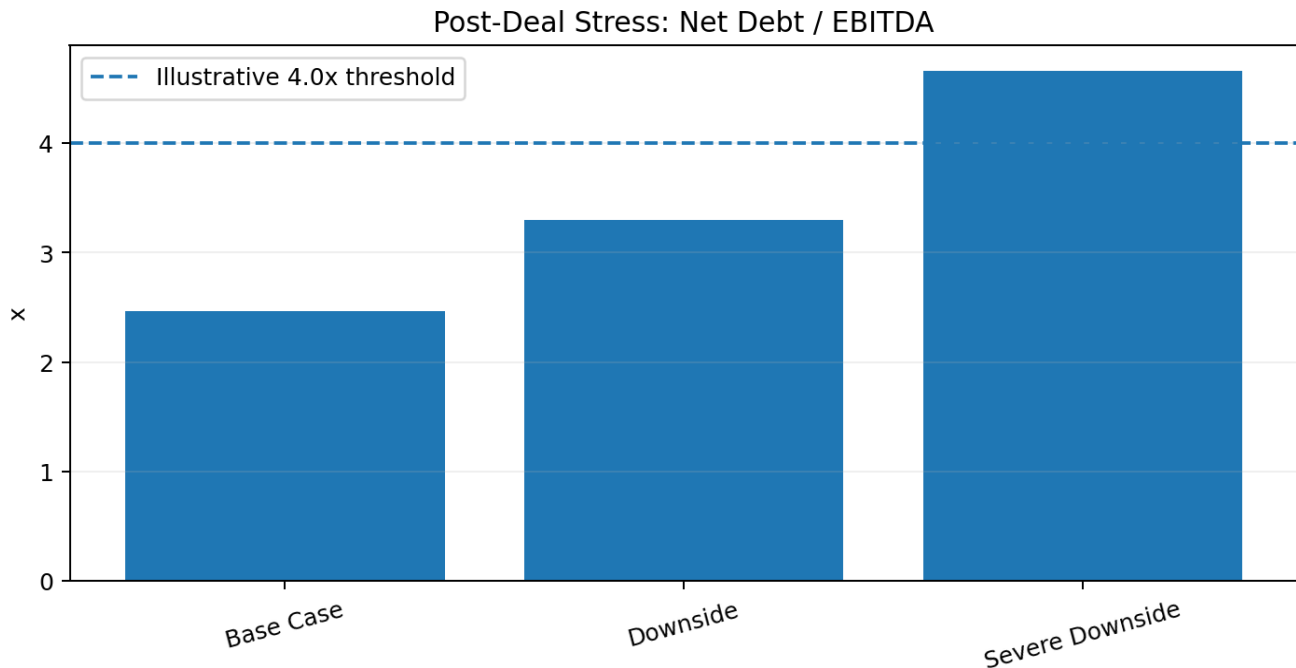
Historical Credit Trend





Post-Deal Stress Testing

Scenario	Net Debt / EBITDA	Interest Coverage	Leverage Headroom
Base Case	2.46x	13.32x	1.54x
Downside	3.29x	8.81x	0.71x
Severe Downside	4.66x	5.58x	-0.66x



Underwriting Observations

- The model links operating performance to debt capacity through EBITDA, leverage and interest coverage rather than evaluating leverage in isolation.
- The \$2.0bn facility is explicitly layered into net debt and interest expense, allowing post-deal leverage and debt-service capacity to be tested.
- Under the severe downside assumptions, modeled leverage reaches 4.66x and leverage headroom becomes negative against the illustrative 4.0x threshold.
- The illustrative internal risk score is transparent and rule-based; it should not be interpreted as an external credit rating.

Methodology & Limitations

- Historical statements are retrieved programmatically through Yahoo Finance and normalized into a common analytical dataset.
- EBITDA is modeled as EBIT plus depreciation and amortization; FCF is modeled as operating cash flow less capital expenditure.
- Scenario assumptions alter revenue, EBITDA margin and interest expense to test operating and debt-service resilience.
- The 4.0x leverage limit, 3.0x minimum coverage, \$2.0bn facility and 8.0% facility rate are hypothetical modeling assumptions.
- Real underwriting would require reconciliation to primary filings, debt agreements and lender-specific adjustments, including collateral, liquidity, maturity, structural and documentation considerations.

Portfolio takeaway: The project demonstrates a complete path from financial statements to credit metrics, stress testing, debt capacity and a lender-style committee summary using Python.